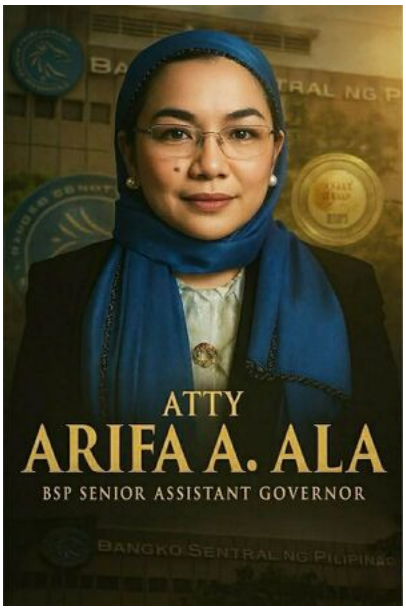
Arifa Alauya-Ala

Arifa A. Ala is a Filipino career central banker, lawyer, and Certified Public Accountant who serves as the **Senior Assistant Governor** of the Bangko Sentral ng Pilipinas (BSP), heading the Financial Supervision Sub-Sector (FSSS) III. Over a career spanning more than 25 years at the BSP, she has become the Philippines' most consequential advocate for Islamic banking and Shari'ah-compliant finance—earning her an international reputation and the informal title of the country's foremost **architect of Islamic finance**.

Ala was the BSP's lead point person for the landmark Republic Act No. 11439, signed into law in 2019, which opened the Philippine banking sector to a genuine dual banking system for the first time in modern history. More than just a regulator, she has also been a relentless champion of financial inclusion for the Bangsamoro region—a community that, for decades, found itself shut out of the formal financial system because conventional banking products conflicted with the Islamic prohibition on *riba* (interest). Her life's work is captured in a simple but powerful idea: that **choice, dignity, and belonging** in the financial system are not privileges—they're rights.

Arifa A. Ala



Born	Mindanao, Philippines
Nationality	Filipino
Education	Mindanao State University (BS Accounting) San Beda College (Juris Doctor) Ateneo de Manila University (MBA) National University of Singapore / Harvard University (Master in Public Management)
Occupation	Central Banker, Lawyer, Certified Public Accountant
Employer	Bangko Sentral ng Pilipinas (BSP)
Title	Senior Assistant Governor, Financial Supervision Sub-Sector III
Known for	Pioneering the Islamic banking regulatory framework in the Philippines; principal architect of Republic Act No. 11439
Awards	WOMANi Most Influential Women in Islamic Business and Finance (2022, 2023, 2024); Woman Influencer in Financial Services Industry, WFIS (2025)

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Background and Early Life

Ala grew up in Mindanao, and that upbringing gave her something that no classroom could teach: a firsthand understanding of what financial exclusion actually looks like. She saw communities that worked hard, saved what they could, and built small enterprises—but remained disconnected from banks that couldn't, or wouldn't, serve them in a way that aligned with their faith and values. That lived context would later shape every policy she drafted and every forum she chaired.

Her family background, while not extensively documented in public records, placed her firmly within the fabric of Mindanao society—a region defined by its cultural plurality, its deep Islamic heritage, and the economic marginalization that has historically accompanied both. These roots never left her, even as her career took her from the streets of Mindanao to the boardrooms of Kuala Lumpur and Dubai.

Education

Ala's academic path is genuinely unusual—and that's precisely what makes her so effective in her work.

She started with a **Bachelor of Science in Business Administration, major in Accounting**, from Mindanao State University. That degree gave her the quantitative backbone that bank supervision demands: reading financial statements, assessing credit risk, and understanding the economic substance of transactions rather than just their

surface form.

From there, she moved to Manila for law school, earning a **Juris Doctor** from San Beda College and passing the Philippine Bar Examinations. That combination—CPA and lawyer—is rare anywhere, and within the BSP, it made her uniquely suited to tackle Islamic financial instruments, which are structurally complex precisely because they avoid interest while still creating economic value.

She didn't stop there. Ala completed a **Master of Business Administration** at the Ateneo de Manila University, sharpening her strategic and management lens. Then came arguably her most elite academic credential: a **Master in Public Management** through a joint program between the **Lee Kuan Yew School of Public Policy** at the National University of Singapore and the **John F. Kennedy School of Government** at Harvard University. That program placed her in a global cohort of senior civil servants and gave her a framework for thinking about policy design that reaches well beyond the BSP's walls.

Career at the Bangko Sentral ng Pilipinas

Ala started at the BSP at the ground floor—literally—as a **Bank Officer I**. That's the entry level. What followed was a 25-year climb that wasn't accidental; it was the product of sustained mastery of the Financial Supervision Sector (FSS) and a growing reputation as the person you brought in when something was legally and technically complicated.

She eventually rose to lead the **Financial Supervision Sub-Sector III**, where she now oversees the supervision of banks and non-bank financial institutions. It's a broad mandate, covering everything from routine prudential oversight to the cutting-edge regulatory work on Islamic banking.

Inside the institution, Ala has also built the next generation of regulators. She chaired the committees that developed the BSP's **Problem Bank Resolution** and **Supervisory Writing** courses under the Professional Enhancement Program for Supervisors—a quiet but meaningful contribution to institutional memory. That kind of mentorship work rarely gets headlines, but it shapes the culture of a central bank for decades.

Pioneering Islamic Finance in the Philippines

The Single-Bank Era and Its Limits

To understand what Ala built, you first have to understand what came before. For roughly 50 years—from 1973 to 2019—the entirety of the Philippines' Islamic banking sector consisted of a single institution: the Al-Amanah Islamic Investment Bank, a state-run entity operating under a 1973 mandate. It was isolated, undercapitalized, and unable to serve the full breadth of the Muslim community's financial needs. There was no regulatory framework to invite new players, no tax structure designed for Shari'ah-compliant transactions, and no inter-agency coordination to make the ecosystem function.

That was the landscape Ala inherited—and decided to change.

Republic Act No. 11439: The Islamic Banking Law

In August 2019, President Rodrigo Duterte signed **Republic Act No. 11439**, the **Islamic Banking Law**. Ala was the BSP's lead point person throughout the bill's deliberations and eventual passage. The law did several things that hadn't been done before in Philippine financial regulation:<ref name="ra11439">Republic of the Philippines.

(2019). *Republic Act No. 11439: An Act Providing for the Regulation and Organization of Islamic Banks.* Official Gazette of the Republic of the Philippines.</ref>

- It formally established a **dual banking system**, allowing new full Islamic banks and **Islamic Banking Units** (IBUs) within conventional banks to operate side by side.
- It gave the BSP explicit authority to issue prudential standards—covering capital adequacy, liquidity, and risk management—tailored specifically for Shari'ah-compliant operations.
- It required all Islamic banks to establish **Shari'ah Advisory Councils** staffed by scholars qualified in banking, finance, and Islamic jurisprudence.

The law moved Islamic banking from a legacy relic into a living, scalable system.

BSP Circular No. 1070: The Shari'ah Governance Framework

A law is only as strong as its implementing rules. Ala understood that, which is why one of her most consequential contributions was her leadership in drafting **BSP Circular No. 1070**—the **Shari'ah Governance Framework**.<ref name="circ1070">Bangko Sentral ng Pilipinas. (2019). *BSP Circular No. 1070: Guidelines on the Establishment and Operation of Islamic Banks and Islamic Banking Units.* BSP Media and Research Portal.</ref>

This framework spelled out exactly how Shari'ah Advisory Councils work, what qualifications their members need, how they interact with a bank's board and management, and how their decisions get documented and reviewed. It made sure that the "interest-free" promise of Islamic banking wasn't just a marketing claim—it was an operationally enforced reality.

Key Policy Innovations

The Islamic Finance Coordination Forum (IFCF)

Ala recognized early that no central bank, working alone, could build a financial ecosystem. Accounting rules, tax regulations, securities laws, insurance frameworks—all of these touch Islamic finance, and they're all governed by different agencies. So she championed the creation of the **Islamic Finance Coordination Forum (IFCF)**, which she chairs, bringing together the Bureau of Internal Revenue (BIR), the Securities and Exchange Commission (SEC), the Insurance Commission (IC), the Bangsamoro Government, and other key stakeholders under one coordinating roof.<ref name="ifcf">Bangko Sentral ng Pilipinas. (2023). *Islamic Finance Coordination Forum: Overview and Mandate.* BSP Media and Research Portal.</ref>

The IFCF is the institutional expression of her "whole-of-government" philosophy: the idea that Islamic finance can't flourish through the BSP alone but only through a coordinated national strategy.

Tax Neutrality: Solving the Double Taxation Problem

One of the most stubborn obstacles to Islamic finance in the Philippines has been the risk of double taxation. Islamic contracts often involve multiple asset transfers—in a *Murabaha* transaction, for example, a bank buys an asset and then sells it to a client at a markup. Under the conventional tax code, that could trigger multiple rounds of Value Added Tax (VAT) and Documentary Stamp Tax (DST), making Islamic products more expensive than their conventional counterparts—which defeats the purpose.

Ala worked closely with the BIR to solve this. The result was **Revenue Regulations No. 17-2020** and, more recently, **Revenue Memorandum Circular No. 81-2024**—regulations that institutionalize **tax neutrality**, meaning Islamic banking transactions are assessed based on their economic substance, not their legal form.<ref name="bir2020">Bureau of Internal Revenue. (2020). *Revenue Regulations No. 17-2020: Implementing the Tax Provisions of Republic Act No. 11439.* BIR Official Website.</ref>

> These policy wins have conveyed to the global market that the Philippines fosters an open and competitive financial system, ready for the entry of local and international investors.
> — Ashary Tamano, *The Architect of Shari'ah-Compliant Finance* (2026)

Impact and Legacy

Financial Inclusion in the Bangsamoro

The numbers behind Ala's work are striking. As of late 2020, over 92% of municipalities in the BARMM were unbanked—meaning most families had no access to formal financial services at all.<ref name="barmm_data">Asian Development Bank. (2024). *Islamic Finance – Philippines Industry Opportunity Study.* ADB Publications.</ref> Her work directly attacked that gap, licensing institutions like **Card Bank, Inc.**—the first microfinance-oriented rural bank with an IBU—and **Maybank Philippines**—the first commercial bank IBU in the country.

Programs like the **CARD MRI Paglambo Project** and **ASA Philippines** have demonstrated that Shari'ah-compliant microfinance isn't just ethically sound—it's commercially viable. Thousands of families in the region have gained access to ethical capital for small businesses, on terms that don't require them to compromise their faith.

Cultural and Spiritual Dimension

Ala often points out something that gets lost in the policy language: for many Filipino Muslims, being shut out of conventional banking isn't just an economic problem—it's a spiritual one. Accessing a loan that charges *riba* creates a moral conflict that many observant Muslims would rather avoid altogether, even at significant personal cost.

By building a Shari'ah-compliant space, she gave those communities back something beyond a bank account. She restored, in her own words, **choice, dignity, and belonging** to people who had long been invisible to the financial system.

Peace Through Prosperity

The Bangsamoro has endured decades of conflict, and poverty and exclusion have been among its root causes. Ala's work connects economic empowerment to peacebuilding in a way that goes beyond rhetoric. When families have access to fair, ethical capital—and can grow small businesses, send children to school, and build assets—the conditions that fuel resentment and instability start to shift. Islamic finance, in her framework, is a peace dividend as much as it is a financial product.

International Recognition

Ala's work hasn't gone unnoticed beyond the Philippines. She has been recognized by some of the most respected names in global Islamic finance:

- **WOMANi Most Influential Women in Islamic Business and Finance** — Named by the **Cambridge Institute of Islamic Finance** (IFA) for three consecutive years: **2022, 2023, and 2024**. She was also designated a **WOMANi Five-Star Alumni and Influencer** at the 5th Annual WOMANi Symposium in Dubai.<ref name="womani">Cambridge Institute of Islamic Finance. (2024). *WOMANi Annual Report 2024.* IFA Publications.</ref>
- **WOMANi Professional Award** — Conferred in Jakarta in 2022 for her leadership of the IFCF.
- **Woman Influencer in Financial Services Industry** — Received at the **2025 World Financial Innovation Series (WFIS)** in Pasay City, recognizing her role in making Islamic finance a pillar of inclusive growth.

On the international policy stage, Ala has represented the Philippines at the **Global Forum on Islamic Economics and Finance (GFIEF)** in Kuala Lumpur (May 2024), where she spoke alongside representatives from Bank Negara Malaysia and Moody's Ratings. She has been actively engaged with the **Islamic Financial Services Board (IFSB)** and the **Accounting and Auditing Organization for Islamic Financial Institutions (AAOIFI)**—ensuring that Philippine regulations benchmark against global standards. Her participation in the **22nd Islamic Financial Stability Forum** in 2024 further cemented her standing as a serious voice in global financial governance.<ref name="ifsb2024">Islamic Financial Services Board. (2024). *22nd Islamic Financial Stability Forum: Proceedings and Outcomes.* IFSB Publications.</ref>

Comparative Context

Breaking from the Amanah Bank Model

What Ala built is fundamentally different from what came before. The Amanah Bank model was a state monopoly—a single institution carrying an impossible burden with limited tools. Ala's approach democratized Islamic finance: any bank, conventional or otherwise, can participate in the system as long as it meets Shari'ah and prudential standards. That shift—from a single isolated player to a systemic, pluralistic framework—is the structural legacy that will outlast any individual award or recognition.

Among Her Regional Contemporaries

Ala's work is often discussed alongside leaders from Indonesia and Malaysia, countries with far larger Muslim populations and more mature Islamic finance markets. Indonesian Finance Minister Sri Mulyani Indrawati's Green Sukuk program is a frequently cited comparison. The difference is context: Indonesia and Malaysia were working with existing ecosystems. Ala built hers from scratch, in a predominantly non-Christian country with a complex tax environment and a political backdrop defined by decades of conflict. Her achievement in securing tax neutrality under those conditions is considered a regional benchmark.

Challenges and Open Questions

For all the progress, Ala has been candid about what remains undone.

The **shortage of qualified Shari'ah scholars**—particularly those who also understand modern financial instruments—remains a genuine bottleneck. The BSP allows foreign consultants, but local capacity is thin, and the long-term sustainability of the industry depends on developing homegrown expertise.

Public **awareness and literacy** around Islamic finance is still low, and the misconception that it's exclusively a religious product for Muslims continues to slow adoption. Ala has led capacity-building initiatives to counter this, but diffusion into the mainstream takes time.

The **Al-Amanah Islamic Investment Bank** itself continues to face operational challenges—governance issues, undercapitalization, limited market reach. It's a reminder that good laws don't automatically produce viable institutions, and that the regulatory framework Ala built is only as strong as the players that operate within it.

The **COVID-19 pandemic** also set back early momentum. Exploratory discussions with foreign investors were stalled, and the economic disruption complicated efforts to expand the IBU network during the critical early years of RA 11439's implementation.

Timeline of Key Milestones

Year	Milestone
1973	Al-Amanah Islamic Investment Bank established under Presidential Decree No. 264—the beginning of the "single-bank era"
1990s–2000s	Ala joins the BSP as Bank Officer I; rises through the Financial Supervision Sector over more than two decades
2019	Republic Act No. 11439 (Islamic Banking Law) signed; BSP Circulars 1069 and 1070 issued
2020	Revenue Regulations No. 17-2020 issued, establishing tax neutrality for Islamic banking transactions
2022	Named WOMANi Most Influential Woman in Islamic Business and Finance; WOMANi Professional Award conferred in Jakarta
2023	Named WOMANi Most Influential Woman in Islamic Business and Finance (second consecutive year)
2024	Named WOMANi Most Influential Woman for third consecutive year; represented Philippines at GFIEF in Kuala Lumpur; participated in 22nd Islamic Financial Stability Forum; Revenue Memorandum Circular No. 81-2024 issued
2025	Named Woman Influencer in Financial Services Industry at WFIS in Pasay City

Further Reading

- Asian Development Bank (https://www.adb.org/). (2024). *Islamic Finance – Philippines Industry Opportunity Study.* Manila: ADB Publications.
- Bangko Sentral ng Pilipinas (https://www.bsp.gov.ph/). BSP Circulars 1069 and 1070. Retrieved from the BSP Media and Research Portal.
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See Also

- Al-Amanah Islamic Investment Bank
- Bangko Sentral ng Pilipinas (https://www.bsp.gov.ph/)
- Bangsamoro Autonomous Region in Muslim Mindanao (https://bangsamoro.gov.ph/)
- Islamic Banking in the Philippines
- Islamic Financial Services Board (https://www.ifsb.org/)
- Republic Act No. 11439 (https://www.officialgazette.gov.ph/)
- Shari'ah Governance Framework

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